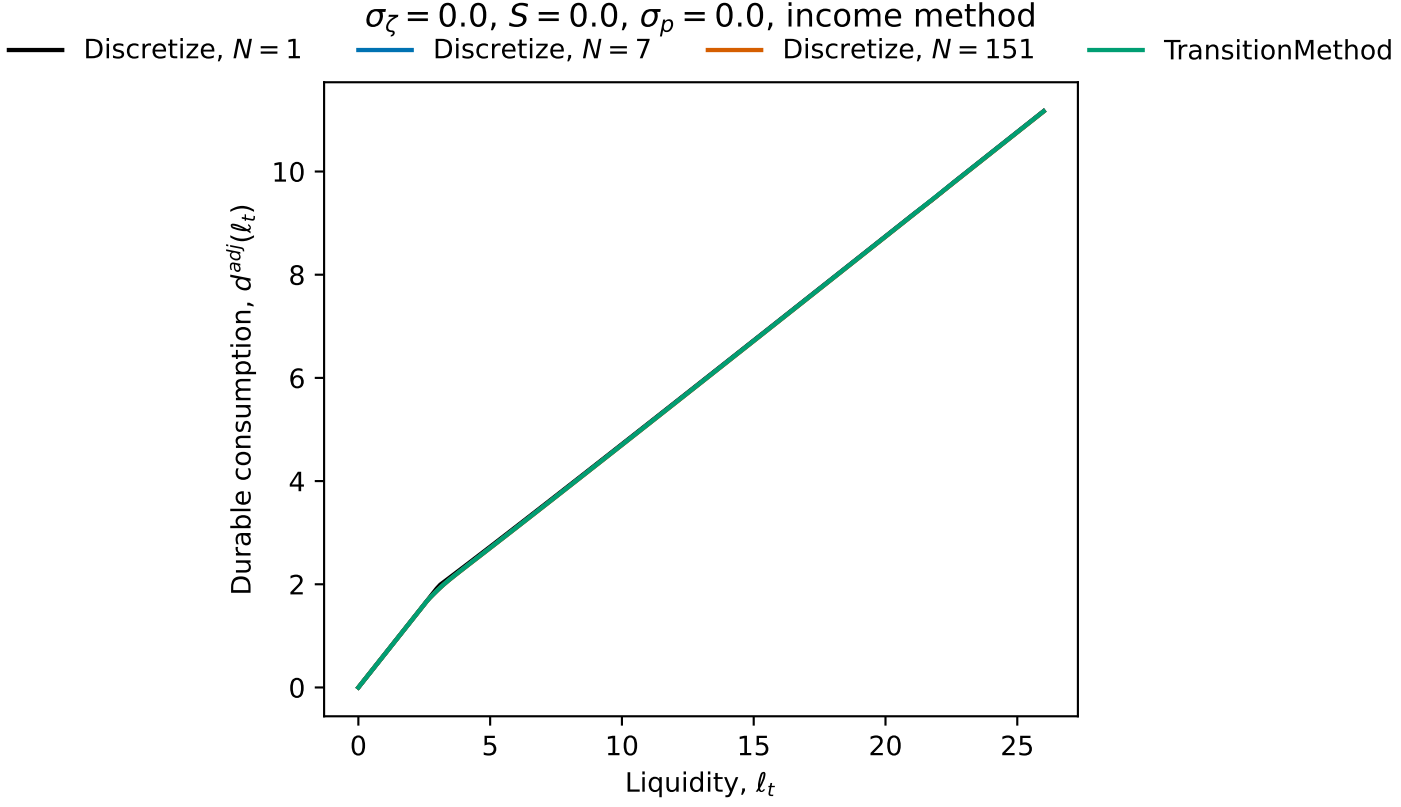
$\sigma_\zeta = 0.0$, $S = 0.0$, $\sigma_p = 0.0$, income method
Discretize, $N = 1$
Discretize, $N = 7$
Discretize, $N = 151$
TransitionMethod
Durable consumption, $d^{adj}(\ell_t)$
Liquidity, ℓ_t
0
2
4
6
8
10
0
5
10
15
20
25